

ing FY24. Market players suggest that high-frequency algorithmic traders and foreign investors are profiting significantly at the cost of retail investors—a point that Sebi also makes. A deeper analysis of NSE data shows that more than half of the trading value on options (index and stock options) comes from co-location that are mostly proprietary trades done by domestic and foreign brokerages. Co-location, which grants certain brokers preferential access, is another concern listed by market participants.

There are other reasons, too. Many retail investors do not follow the rule book and take naked positions without any hedging, say experts. In F&O, taking a naked position means selling a contract without having the underlying asset. “It is important to follow a strict stop-loss policy,” says Atul Parakh, CEO at Bigul, the digital investment platform of Bonanza Portfolio Ltd. Stop-loss refers to a limit set on trades to minimise losses. Experts recall that after the 2008 meltdown, it took at least a decade for people to realise that the stock markets are not a place to lose money. The government’s concern is the likely loss of confidence in the stock markets and its implications in the case of a black swan event or bear phase.

36 | At a BSE event in Mumbai in May, Finance Minister Nirmala Sitharaman had said that any unchecked explosion in retail trading in the F&O market “can create future challenges for the market, investor sentiment, and household finances”. Sebi Chairperson Madhabi Puri Buch, at an NSE event in Mumbai in late July, had also highlighted the significant financial losses households face in the F&O segment, estimating annual losses of up to ₹60,000 crore. This, she had argued, was not just a micro-level concern but a macro-level issue with potential implications for the broader economy. Sebi is working closely with banking regulator, the Reserve Bank of India, to tackle this issue.

But not all investors in the options trade are retail investors, say experts. “The risk is for a sell-side investor in an options trade, as buy-side investors have risk limited to the premium,” says Siddarth Bhamre, Head of Research at Asit C Mehta Investment Intermediates. Most options sellers are sophisticated investors with capital.

Sebi’s whole-time member Ananth Narayan points to traders treating expiry day trading as playing in a casino for the jackpot. Usually, options premium reduces as expiry nears. “It would be unfair to compare all of equity F&O with a casino and lose sight of its utility in capital formation. That’s not what we are saying. We are talking only about the specific portions of trading closer to expiry,” he said recently.



PHOTO BY BANDEEP SINGH

NIRMALA SITHARAMAN
UNION FINANCE MINISTER,
AT AN EVENT IN MAY

“Any unchecked explosion in retail trading in the futures and options market can create future challenges for the market, investor sentiment, and household finances”

INDEX OPTIONS TO BLAME?

Market experts blame exchanges and brokerages for steering individual traders away from the cash market over the past decade, pushing them to futures, options, and finally to index options. This happened because of increased margins for the cash segment and reduced leverage in the cash and futures markets. “Initial adopters attracted subsequent participants as volume and liquidity grew,” says Jimeet Modi, Founder of Samco Securities. “Options eventually became the market’s most liquid segment, naturally drawing liquidity-seeking traders.”